

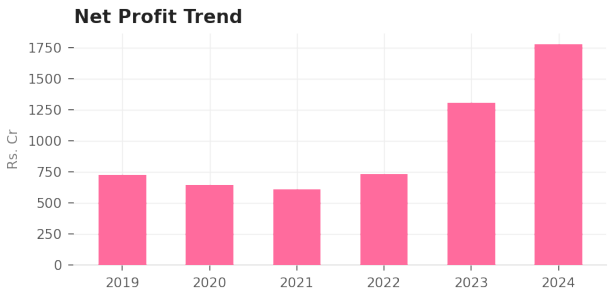
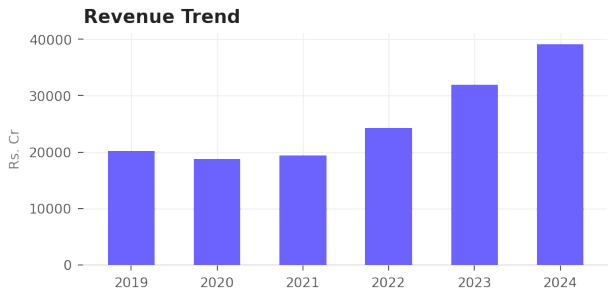
TVS Motor Company Ltd

TVSMOTOR | Consumer Discretionary - Two Wheelers | Large Cap

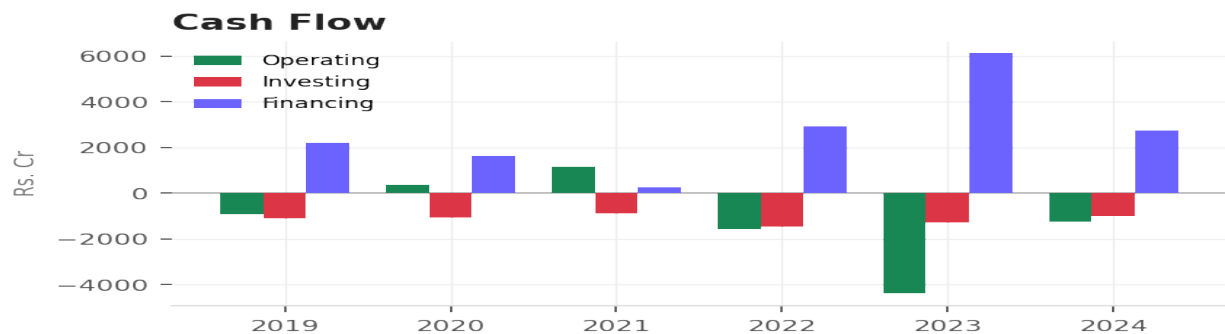
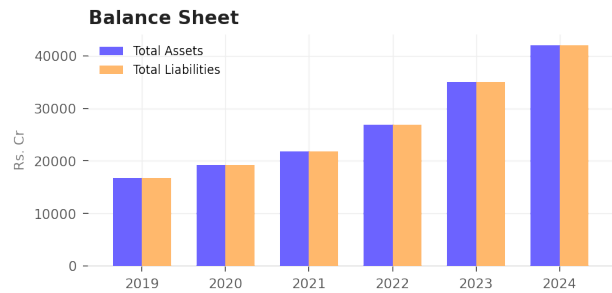
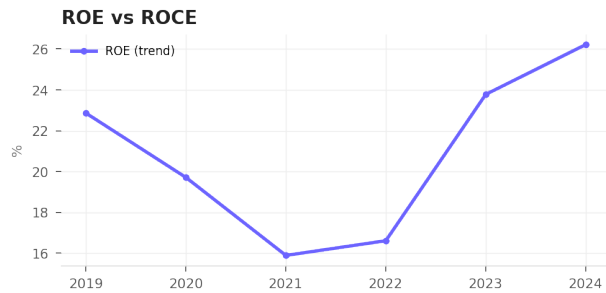
26.2%	N/A	3.83x	46.1x	3.1%	25/100
ROE	ROCE	Debt/Equity	P/E	Div. Yield	Quality Score

CAPITAL ALLOCATION: GROWTH FUNDED BY DEBT

Operating cash flow is negative; growth is being funded through debt.



TVS Motor Company Ltd - Financial Trends



Pros

- + Company has delivered strong profit growth of 21.7% CAGR over the last 5 years. (80% confidence)
- + Company has grown earnings per share at 21.6% CAGR over the last 5 years. (80% confidence)
- + Company has a strong return on equity of 26.2%. (77% confidence)
- + Company runs an asset-light business with low capital expenditure needs. (68% confidence)
- + Company has delivered strong sales growth of 15.6% CAGR over the last 5 years. (68% confidence)

Cons

- Company carries a high debt-to-equity ratio of 3.83. (98% confidence)
- Company's cash generation lags reported profits (CFO/PAT of -0.60x), an accrual risk. (98% confidence)
- Company's cash flow pattern (Growth Funded by Debt) signals capital allocation stress. (80% confidence)
- Company scores poorly on the composite quality framework (25/100). (79% confidence)
- Company reported negative free cash flow in the latest year. (75% confidence)